AUDIT AND ASSURANCE

Suggested Answers
July-August 2025

Answer to the Question# 1:

1. We shall perform risk assessment procedures to obtain an understanding of:

   (a) The following aspects of Alternative Power Generations Ltd (AGPL) (the 'entity') and its environment:
   (i) The organizational structure, ownership and governance, and its business model, including the extent to which the business model integrates the use of IT;
   (ii) Industry, regulatory and other external factors; and
   (iii) The measures used, internally and externally, to assess the entity's financial performance.

   (b) The applicable financial reporting framework (e.g., BSEC rules and guidance), and the entity's accounting policies and the reasons for any changes thereto; and

   (c) How inherent risk factors affect susceptibility of assertions to misstatement and the degree to which they do so, in the preparation of the financial statements in accordance with the applicable financial reporting framework, based on the understanding obtained in (a) and (b).

2. We shall also evaluate whether the entity's accounting policies are appropriate and consistent with the applicable financial reporting framework.

3. We shall obtain an understanding of the control environment relevant to the preparation of the financial statements, through performing risk assessment procedures, by:
   i. Understanding the set of controls, processes, and structures that deal with oversight responsibilities, separate management functions with the governance, assign authority and responsibility etc.
   ii. Evaluating whether the governance culture is practiced on honest and ethical behavior, the control environment functions as expected etc.

4. We shall obtain an understanding of the entity's risk assessment process relevant to the preparation of the financial statements.
5. We shall obtain an understanding of the entity's process for monitoring the system of internal control relevant to the preparation of the financial statements.
6. We shall obtain an understanding of the entity's information system and communication relevant to the preparation of the financial statements.
7. Finally, we shall obtain an understanding of the control activities component.

Answer to the Question# 2(a) (i):

Regarding management, the ISA states that the primary responsibility for the prevention and detection rests with those charged with governance and management. To fulfil this responsibility, various actions can be taken including the following:

- Demonstrating that management follow a culture of honesty and ethical behaviour and communicating that they expect all employees to adhere to this culture;
- Establishing a sound system of internal control;
- From the point of view of those charged with governance, ensuring that management design and implement policies and procedures to ensure, as far as possible, the orderly and efficient conduct of the company's business.

Answer to the Question# 2(a) (ii):

Regarding the auditor, the ISA states that the auditor must obtain reasonable assurance that the financial statements, taken as a whole, are free from material misstatement, whether caused by fraud or error. The auditor does not therefore offer complete assurance that the financial statements are free from fraud and/or error as audit testing is not designed to provide this assurance. Auditor is required to assess fraud risks, obtain written management representations and if a fraud is suspected assess implication for other aspects of the audit.

Answer to the Question# 2(b):

IESBA Codes of Ethics prescribes five different types of threats as follows:

i. **Self-interest threat**: the threat that a financial or other interest will inappropriately influence the professional accountant's judgment or behavior.
ii. **Self-review threat**: the threat that a professional accountant will not appropriately evaluate the results of a previous judgment made or service performed by the professional accountant or by another individual within the firm or employing organization, on which the accountant will rely when forming a judgment as part of providing a current service.
iii. **Familiarity threat**: the threat that due to a long or close relationship with a client or employer, a professional accountant will be too sympathetic to their interests or too accepting of their work.
iv. **Intimidation threat**: the threat that a professional accountant will be deterred from acting objectively because of actual or perceived pressures, including attempts to exercise undue influence over the professional accountant.
v. **Advocacy threat:** a threat to a professional accountant's objectivity where they promote a client's or employer's position to such an extent that their impartiality is compromised. This can happen, for instance, when an auditor assists in selling their client's company, or a professional accountant acts as an advocate in a legal dispute with a third party, potentially influencing their professional judgment.

Answer to the Question# 2(c):

Safeguards are actions or other measures that may eliminate threats or reduce them to an acceptable level. They fall into two broad categories:

- Safeguards created by the profession, legislation or regulation; and
- Safeguards in the work environment

Safeguards created by various means include:

- Educational, training and experience requirements for entry into the profession
- Continuing professional development requirements.
- Segregation of duties between audit and non-audit services
- Partner and staff rotation
- Hot and cold reviews of the files
- Corporate governance regulations
- Professional standards
- Professional or regulatory monitoring and disciplinary procedures
- External review by a legally empowered third party of the reports, returns, communications or information produced by a professional accountant.

Answer to the Question# 2(d):

It is auditor's responsibility to maintain confidentiality of client's information. Hence, before sub-contacting any part of the audit engagements, approval from client should be obtained. In addition, as GentCo has been appointed as the auditor by the client, the ultimate statutory responsibility of the audit lies with GentCo. As there are some unusual situations involved in these engagements with respect to sub-contacting the engagements as well as borrowing staffs, the auditor should keep eyes on the following ethical challenges:
Sub-contacting:

- The sub-contracted auditors might not perform their professional duties properly;
- Sun-contracted auditors might not be independent to client's affairs;
- Sub contracted auditors might not be sufficiently competent;

Borrowing staffs:

- Borrowed staff might not be independent to the client.
- Borrowed staff might not have the required qualification to conduct the audit.
- Borrowed staff might not perform their professional duties.
- Borrowed staff might not follow the methodology of the firm.
- Borrowed staff might maintain the client confidentiality.

Answer to the Question# 3(a):

Cybersecurity is the protection of systems, networks, and data in cyberspace. It includes protection against unauthorized modification, disclosure, destruction of data, and preventing system degradation or failure.

The list below, although not exhaustive, details some of the most significant cyber risks an organization's IT systems might encounter:

- **Human threats:** Hackers may be able to get into the organization's internal network, either to steal data or to damage the system. Political terrorism is a major risk in the era of cyber-terrorism.
- **Fraud:** The theft of funds by dishonest use of a computer system.
- **Deliberate sabotage:** For example, commercial espionage, malicious damage or industrial action.
- **Viruses and other corruption:** Can spread through the network to all the organization's computers.
- **Malware:** This term is used for hostile or intrusive software such as worms, trojan horses, spyware and other malicious programs.
- **Denial of Service attack:** A denial of service attack is characterized by an attempt by attackers to prevent legitimate users of services from using that services.

Answer to the Question# 3(b):

Security can be sub-divided into a number of aspects from its controlling techniques point of view.

- **Prevention**: Practical measures such as the use of passwords and securing IT assets by keeping doors leading to servers locked when not in use may help to prevent unauthorized access. In practice it is impossible to prevent all threats cost-effectively.
- **Detection**: Detection techniques are often combined with prevention techniques: a log can be maintained of unauthorized attempts to gain access to a computer system.
- **Deterrence**: As an example, computer misuse by personnel can be made grounds for dismissal.
- **Recovery procedures**: If the threat occurs, its consequences can be contained.
- **Correction procedures**: These ensure the vulnerability is dealt with (for example, by instituting stricter controls).
- **Threat avoidance**: This might mean changing the design of the system.

Answer to the Question# 3(c):

There are a number of practical measures that organisations can take in combating IT risks.

- **Business continuity planning**: This means that there should be measures to ensure that if major failures or disaster occur, the business will not be completely unable to function.
- **System access control**: This includes protection of information, information systems, networked services, detection of unauthorized activities and security when using the system.
- **Systems development and maintenance**: This includes security measures and steps to protect data in operational and application systems and also ensuring that IT projects and support are conducted securely.
- **Physical and environmental security**: Measures should be taken to prevent unauthorized access, damage and interference to business premises, assets, information and information facilities and prevention of theft.
- **Compliance**: Compliance with relevant legal requirements and also with organizational policies in standards. There is no point in having them if they are not enforced.
- **Personnel security**: This covers issues such as recruitment of trustworthy employees, and also reporting of security-related incidents. Training is particularly important, with the aim that users are aware of information security threats and concerns and are equipped to comply with the organization's security policy.
- **Security organisation**: It should be clear who has responsibility for the various aspects of information security. Additional considerations will apply if facilities and assets are accessed by third parties or responsibility for information processing has been outsourced.
- **Computer and network management**: This includes ensuring continuity of operations and minimizing the risk of systems failures, also protecting the integrity of systems and safeguarding information, particularly when exchanged between organisations. Particularly important is protection from viruses.

- **Asset classification and control**: Information is an asset, just like a machine, building or a vehicle, and security will be improved if information assets have an 'owner', and are classified according to how much protection they need.
- **Security policy:** A written document setting out the organization's approach to information security should be available to all staff.

Answer to the Question# 4(a) (i):

ISA 260 (revised) prescribes certain matters to be communicated to those charged with governance. Those matters are described below:

The Auditor's Responsibilities in Relation to the Financial Statement Audit

The auditor shall communicate with those charged with governance the responsibilities of the auditor in relation to the financial statement audit, including that:

(a) The auditor is responsible for forming and expressing an opinion on the financial statements that have been prepared by management with the oversight of those charged with governance; and

(b) The audit of the financial statements does not relieve management or those charged with governance of their responsibilities.

Planned Scope and Timing of the Audit

The auditor shall communicate with those charged with governance an overview of the planned scope and timing of the audit, which includes communicating about the significant risks identified by the auditor.

Significant Findings from the Audit

The auditor shall communicate with those charged with governance:

(a) The auditor's views about significant qualitative aspects of the entity's accounting practices, including accounting policies, accounting estimates and financial statement disclosures. When applicable, the auditor shall explain to those charged with governance why the auditor considers a significant accounting practice, that is acceptable under the applicable financial reporting framework, not to be most appropriate to the particular circumstances of the entity;

(b) Significant difficulties, if any, encountered during the audit;

(c) Unless all of those charged with governance are involved in managing the entity: (a) Significant matters arising during the audit that were discussed, or subject to correspondence, with management; and (b) Written representations the auditor is requesting;

(d) Circumstances that affect the form and content of the auditor's report, if any; and

(e) Any other significant matters arising during the audit that, in the auditor's professional judgment, are relevant to the oversight of the financial reporting process.

Auditor Independence

In the case of listed entities, the auditor shall communicate with those charged with governance:

A statement that the engagement team and others in the firm as appropriate, the firm and, when applicable, network firms have complied with relevant ethical requirements regarding independence; and (i) All relationships and other matters between the firm, network firms, and the entity that, in the auditor's professional judgment, may reasonably be thought to bear on independence. This shall include total fees charged during the period covered by the financial statements for audit and non-audit services provided by the firm and network firms to the entity and components controlled by the entity. These fees shall be allocated to categories that are appropriate to assist those charged with governance in assessing the effect of services on the independence of the auditor; and (ii) The related safeguards that have been applied to eliminate identified threats to independence or reduce them to an acceptable level.

Answer to the Question# 4(a) (ii):

The communication processes as prescribed are briefly discussed below:

Establishing the Communication Process

The auditor shall communicate with those charged with governance the form, timing and expected general content of communications.

Forms of Communication

The auditor shall communicate in writing with those charged with governance regarding significant findings from the audit if, in the auditor's professional judgment, oral communication would not be adequate. Written communications need not include all matters that arose during the course of the audit.

Where matters required by this ISA to be communicated are communicated orally, the auditor shall include them in the audit documentation, and when and to whom they were communicated. Where matters have been communicated in writing, the auditor shall retain a copy of the communication as part of the audit documentation.
In addition, the auditor shall communicate in writing with those charged with governance regarding auditor independence when required.

Timing of Communications

The auditor shall communicate with those charged with governance on a timely basis.

Adequacy of the Communication Process

The auditor shall evaluate whether the two-way communication between the auditor and those charged with governance has been adequate for the purpose of the audit. If it has not, the auditor shall evaluate the effect, if any, on the auditor's assessment of the risks of material misstatement and ability to obtain sufficient appropriate audit evidence and shall take appropriate action.

Answer to the Question# 4(b):

The auditor must evaluate the effect of identified misstatements on the audit and evaluate the effect of uncorrected misstatements, if any, on the financial statements.

- **Accumulation of identified misstatements:**
  The auditor will need to consider revising the overall plan if:
  - The misstatements identified indicate that other misstatements may exist, which when accumulated could be material, or
  - Accumulated misstatements approach the materiality level set for the audit.

  Where management has corrected misstatements detected, the auditor shall perform additional procedures to determine whether misstatements remain.
- **Consideration of identified misstatements as the audit progresses:**
  The auditor shall determine whether the overall audit strategy and audit plan need to be revised if:
  -The nature of identified misstatements and the circumstances of their occurrence indicate that other misstatements may exist that, when aggregated with misstatements accumulated during the audit, could be material;
  -The aggregate of misstatements accumulated during the audit approaches
- **Communication and correction of misstatements:**
  - The auditor shall inform management of all misstatements and request that they be corrected.
  - If management refuses, the auditor shall ascertain the reason and take this into account in the overall evaluation.
- **Evaluating the effect of uncorrected misstatements:**
  - Reassess materiality
  - Determine whether uncorrected misstatements are material, whether individually or in aggregate.

  Materiality will depend on the nature of the misstatement and its impact on the financial statements. The auditor is required to inform those charged with government and to request that corrections be made.
- **Written representations:**
  The auditor shall request confirmation from management that the effect of uncorrected misstatements is immaterial.
- **Documentation:**
  Audit documentation shall include:
  - The amount below which misstatements are considered trivial.
  - All misstatements accumulated.
  - The auditor's conclusion regarding materiality of uncorrected misstatements.

  Certain circumstances may cause the auditor to deem misstatements material even if they are below the materiality level. These circumstances include:
  - Compliance with regulatory requirements
  - Masking a change in trends or affecting ratios
  - Increasing management compensation
  - Affecting other information in documents included with the audited financial statements.

Answer to the Question# 5(a) (i):

The Code of Ethics requires that confidentiality be maintained not only by keeping information private but also by taking reasonable steps to preserve it. Professional accountants should consider all unpublished information confidential, regardless of how it was obtained

Answer to the Question# 5(a) (ii):

The Code of Ethics identifies three circumstances where the professional accountant is or may be required to disclose confidential information:

- **Disclosure is required by law**, for example:
  (1) Production of documents or other provision of evidence in the course of legal proceedings; or
  (2) Disclosure to the appropriate public authorities of infringements of the law that come to light;
- **Disclosure is permitted by law and is authorized by the client** or the employing organization
- **There is a professional duty or right to disclose**, when not prohibited by law:
  (1) To comply with the quality review of a professional body;
  (2) To respond to an inquiry or investigation by a professional or regulatory body;
  (3) To protect the professional interests of a professional accountant in legal proceedings; or
  (4) To comply with technical and professional standards, including ethics requirements [this could include making disclosures to the concerned authorities of actual or suspected money laundering offences]

In making such a report, an auditor is not deemed to have broken the confidence of the client. It is normally addressed by setting out the auditor's right to disclose in the engagement letter.

Answer to the Question# 5(b):

You should take into account the following factors:

- **Objectivity:**
  The objectivity of the department, including its freedom from conflicting responsibilities and the level of management it reports to. In this case, Mr. XYZ reports directly to the board of directors, so the department has an important status in the company. It would also be considered whether there is any limitation on the assignments carried out, and to what extent recommendations are acted upon by management.
- **The competence**
  The competence of the people carrying out the work. In this case it would be necessary to inquire about the competence of Mr. XYZ; for example, is he a qualified accountant? It would also be necessary to identify the other members of the internal audit team (if there are any) and assess their competence as well.
- **Approach**
  The application of a systematic and disciplined approach. The external auditors should review the work carried out by the internal auditors to check that it was documented in the first place, and to assess whether it was planned and whether there is evidence of its being supervised and reviewed.
- **Communication with external auditors**
  Communication with external audit. What arrangements have been put in place to enable internal audit is need to enquire to communicate freely and effectively with external audit.

Answer to the Question# 6(a) (i):

In case of company X Ltd., if the going concern assumption is appropriate but a material uncertainty exists about the ability of an entity to continue as a going concern and the uncertainty is adequately disclosed in the financial statements, the auditor should express an unqualified opinion.

Answer to the Question# 6(a) (ii):

The auditor will consider the adequacy of the disclosures made in the financial statements by management. If the auditor considers that the going concern basis is appropriate and that the disclosures are adequate, then the audit opinion will be unmodified and the auditor's report can include a section headed 'Material Uncertainty Related to Going Concern' which explains the uncertainty. The Material Uncertainty Related to Going Concern section will follow the Basis for Opinion paragraph and will cross-reference to the relevant disclosure in the financial statements. It will also state that the auditor's opinion is not modified in respect of this matter.

Answer to the Question# 6(a) (iii):

In case of company Y Ltd., if the financial statements fail to give a true and fair view because it is inappropriate to use the going concern basis, the auditor should express an adverse opinion.

Answer to the Question# 6(a) (iv):

If the auditor concludes that the disclosures are inadequate, or if management have not made any disclosure at all and management refuse to remedy the situation, the opinion will be modified. Auditors will include a separate section in their report titled 'Material uncertainty related to Going Concern', in which they report on that the going concern assumption is appropriate and whether management has not disclosed any material uncertainties in relation to it.

Answer to the Question# 6(b):

As per international best practice, the job of the auditor is not to actively search for fraud or delve deeply into every aspect of company's operations but to provide assurance that financial statements, taken as a whole are free from material misstatements.

In the banks and financial institutions, lots of anomalies have taken place during the disbursement of loans and advances. While the auditor is not responsible for unearthing all the irregularities or frauds taken place in the organization , the auditor is responsible to identify material frauds, evaluate and assess their impacts on the financial statements and form their opinion accordingly.

In this scenario, it appears that certain auditors of the banks and financial institutions did not mention or highlight (either in the basis for modification section when the report was modified or highlight the issues and impacts in their emphasis of matters paragraph of the audit report when the opinion was not modified in light with organizations compliance with regulatory guidelines) in their audit reports the impact of disbursing a high amount of non-performing loans unduly.

While auditors are not required to disclose detailed irregularities like political influence on loans in their audit report, they must communicate significant fraud risks and control weaknesses to those charged with governance and regulators, may be through formal management letter points, discuss those with those charged with governance and regulators and document those and can show that the financial statements were prepared in accordance with explicit local regulatory guidance This approach might help auditor lessen the impact of regulatory burden and lawsuits from stakeholders (if not all) .

---The End---